‘Over the years, while attempts have been made to widen the base for domestic indirect taxes, the services sector has not been subjected to taxation. Yet the sector accounts for about 40 per cent of our GDP and is showing strong growth. There is no sound reason for exempting services from taxation, when goods are taxed and many countries treat goods and services alike for tax purposes. The Tax Reforms Committee has also recommended imposition of tax on services as a measure for broadening the base of indirect taxes. I, therefore, propose to make a modest effort in this direction by imposing a tax on services of telephones, non-life insurance and stock brokers. The tax will be charged at 5 per cent on the amount of telephone bills, the net premium charged by the insurance companies, and the brokerage or commission charged by the stock brokers in relation to their services.’

Gradually, the list of services subjected to service tax increased. There were more than 100 services that were subjected to service tax by the end of the first decade of the twenty-first century. The government moved the system of taxing all services, except services placed in a negative list. The policy shift was announced in the 2012–13 Budget. To quote Finance Minister (later President) Pranab Mukherjee:

‘Last year, I had initiated a public debate on the desirability of moving towards taxation of services based on a negative list. In the debate that continued for the better part of the year, we received overwhelming support for this new concept. It has been perceived both as sound economics and a prudent fiscal arrangement. Thus, I propose to tax all services except those in the negative list. The list comprises seventeen heads and has been carefully drawn up, keeping in view the federal nature of our polity, the best international practices and our socioeconomic requirements.’

The services in the negative list included services provided by the government or local bodies, education services, renting of residential dwellings, entertainment and amusement services and public transportation.